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Japan Strategy

Looking for a tech stock bottom

CITI'S TAKE

We believe the Japanese tech stock correction that began from late June was triggered by a combination of factors including wariness about excessive concentration in tech names, renewed concerns about AI investment profitability, and risk adjustments ahead of major hyperscaler earnings announcements. However, multiple indicators including valuations and divergence from target prices suggest the correction has already progressed considerably. Unless earnings outlooks deteriorate significantly, we see limited additional downside, and we believe Japan's tech sector will likely outperform the market again toward year-end.

Valuation adjustments approaching historical-bottom levels — MSCI Japan IT's 12-month forward PER has declined to historical bottom levels when viewed relative to the 52-week moving average. The overheating in stock performance relative to earnings forecast strength is dissipating, and the divergence from target prices has widened to over 30% for the sector overall. Indicators have generally reached levels close to past stock price reversal points.

Probability of earnings deterioration scenario remains low — While concerns persist about the outlook for AI investment and data center demand, we see no notable deceleration signals in leading indicators such as global semiconductor sales. Moreover, AI-related investment will likely continue expanding at high levels even if growth moderates. Markets sometimes focus on slowing investment growth rates or memory price increases, but in structural demand expansion phases, these do not necessarily imply earnings deterioration.

Current environment differs significantly from IT bubble period — Some compare the rise in AI-related stocks to the late 1990s IT bubble, but Japanese market valuations overall have not expanded as much as then. Additionally, the benefits of the rise are concentrated mainly in semiconductor and data center-related hard tech companies, not a situation where speculative enthusiasm has spread across the entire market. Furthermore, multiple stock price support factors exist beyond AI, including entrenched inflation, corporate governance reform, and defense-related demand.

Results season requires individual stock selection, but momentum strategies remain effective — During the upcoming April-June results season, stock selection based on earnings, so-called earnings plays, tends to work well. For stocks where consensus forecasts were cut due to conservative guidance issued alongside full-year results, strategies targeting positive surprises in Q1 earnings may be effective short-term. Meanwhile, the overheating in beta and momentum factors has been substantially resolved through the tech correction since late June. Stocks maintaining strong medium to long-term earnings and price momentum that have corrected recently remain promising investment targets.

Ryota Sakagami^{AC}

+81-3-6776-4653

ryota.sakagami@citi.com

Keishi Ueda

+81-3-6776-5110

keishi.ueda@citi.com

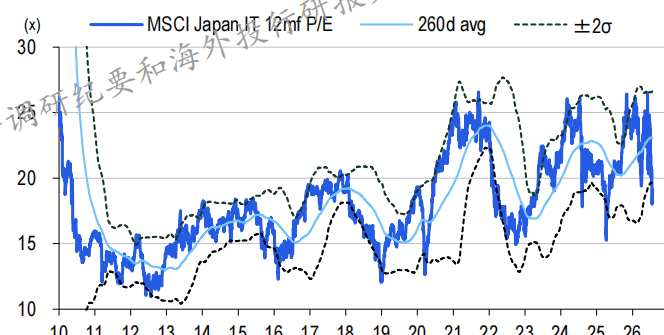
See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Tech correction in final phase

We attribute the tech stock correction that began from late June to a combination of three factors: 1) concern over an excess concentration in the tech sector, 2) a rekindling of concern over potential returns from AI investments, and 3) risk adjustments ahead of results releases by key tech companies and hyperscalers. We think Japanese stocks could show instability near-term as the results season for US and Japanese companies gets going in earnest from the last week in July. That said, there are also signals suggesting that a bottoming-out could be imminent, with multiple indicators showing that the tech stock correction has already progressed to a reasonable extent.

The 12-month forward PER of MSCI Japan IT fell below 20x on July 17 and the divergence from the 52-week moving average fell to -3σ . Experience shows the index often tends to bottom out once the divergence is at around this level. The only exception was 2022, when expectations of an earnings peak coincided with global credit tightening (Figure 1, 2). Moreover, while the sector share price gains from April were arguably excessive, considering the strength of earnings forecast revisions, valuations look more appropriate following the recent share price correction (Figure 3, 4). We also note that a comparison with consensus-based target prices implies upside share price potential of over 30% for the tech sector (Figure 5). Divergence versus target prices has increased to around 4σ , which is also a level consistent with share price inflection points seen in the past (Figure 6).

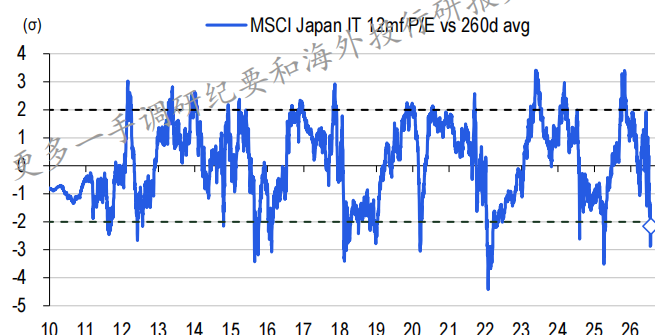
Figure 1. MSCI Japan IT—12mf PER



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Source: Citi Research, DataStream, Bloomberg

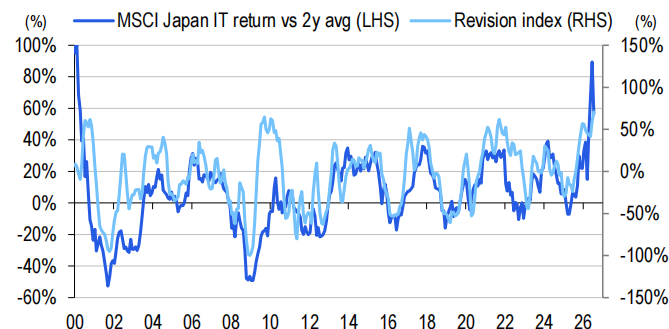
Figure 2. MSCI Japan IT—12mf PER vs 260d avg



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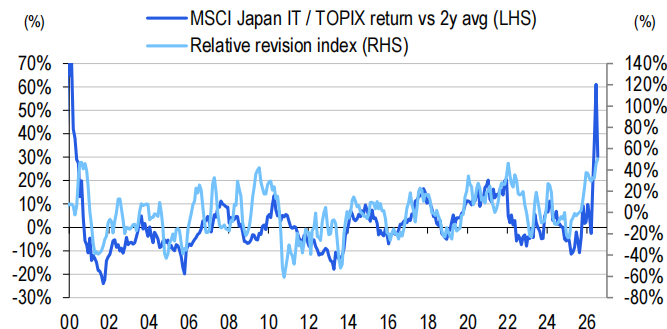
Figure 3. MSCI Japan IT—return vs 2y avg and revision index



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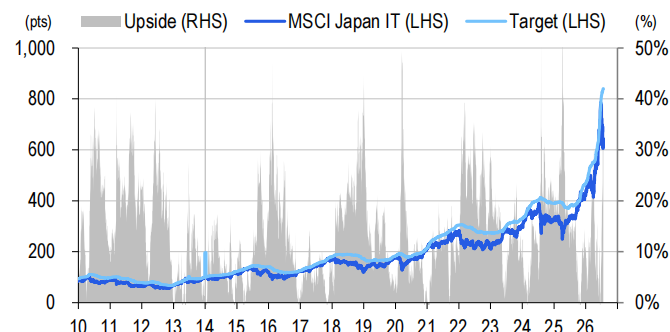
Figure 4. MSCI Japan IT vs TOPIX—return vs 2y avg and revision index



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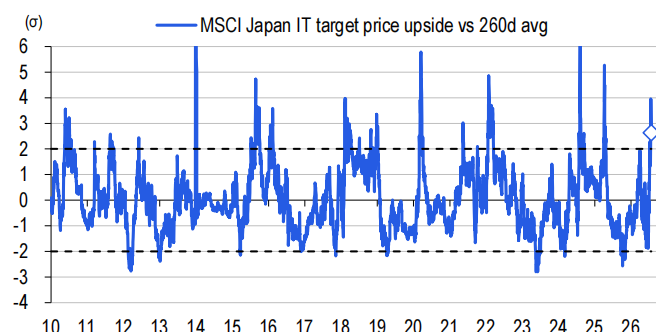
Source: Citi Research, DataStream, Bloomberg

Figure 5. MSCI Japan IT — price and analyst target price



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Figure 6. MSCI Japan IT — price vs analyst target price



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Downside limited even if there is another correction

Japanese stocks could face another correction if hyperscalers' results show less progress than expected in monetizing AI or indicate that data center investment is slowing. However, based on the aforementioned valuation indicators and current share price levels, we think investor focus is shifting from the question of whether there will be a correction to the question of the extent of downside risk in the event of a correction. As long as there is not a rapid increase in expectations of an earnings peak, resulting in a run of analysts lowering their target prices, we see limited further downside risk to share prices. Even if the MSCI Japan IT P/E were to correct to -3.5σ relative to the historical average, we see tech sector downside of only around 9%, with the Nikkei 225 holding above 60,000 (Figure 7).

Figure 7. Downside simulation based on valuation of MSCI Japan IT

MSCI Japan IT				TOPIX		Nikkei	
12mf P/E	vs 260d avg	Price	Downside	Price	Downside	Price	Downside
18.6	-2.50σ	623	-3.2%	3,964	-1.7%	64,568	-2.3%
18.1	-2.75σ	608	-5.6%	3,913	-3.0%	63,435	-4.1%
17.7	-3.00σ	593	-7.9%	3,862	-4.2%	62,302	-5.8%
17.2	-3.25σ	578	-10.3%	3,811	-5.5%	61,169	-7.5%
16.8	-3.50σ	562	-12.6%	3,760	-6.8%	60,036	-9.2%
16.3	-3.75σ	547	-15.0%	3,710	-8.0%	58,903	-10.9%
15.8	-4.00σ	532	-17.3%	3,659	-9.3%	57,770	-12.6%

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Note: Calculated MSCI Japan IT levels based on deviation of 12mf P/E vs 260d average, then applied MSCI Japan IT beta vs TOPIX and Nikkei (Since 2026 March-end) to calculate TOPIX and Nikkei downside.

Source: Citi Research, DataStream, Bloomberg

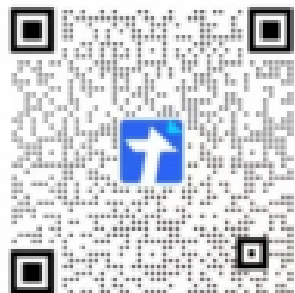
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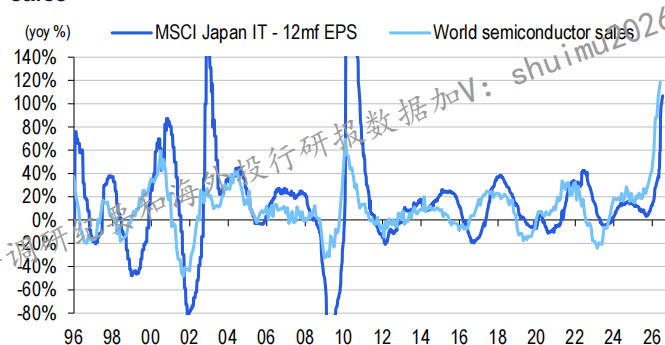
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Little risk of a collapse in strong tech sector earnings

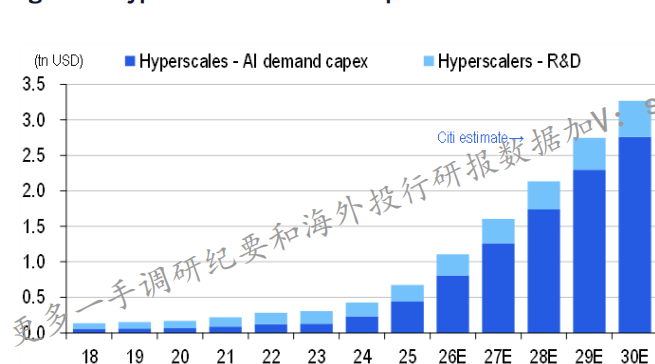
Of course, if tech sector earnings forecasts are revised down, PER-based downside targets also risk being lowered. However, we currently see no notable deceleration signals in leading indicators such as global semiconductor sales, which tend to lead the sector's EPS (Figure 8). Additionally, AI-related investment by hyperscalers will likely continue expanding at high levels even if growth momentum moderates, and we expect tailwinds for Japan's tech sector to continue for the time being (Figure 9). Markets sometimes cite "deceleration" in data center investment or memory prices as warning signs. However, these are analytical methods premised on cyclical capex cycles. In structural demand expansion phases like AI and data center investment, we believe their effectiveness is limited. Even if investment amounts or price growth rates moderate, that itself does not imply earnings deterioration. Even if tech sector EPS tracks current consensus, stocks still have upside room. Meanwhile, if upward EPS forecast revisions continue, the upside would be even greater (Figure 10). We maintain our view that Japan's tech sector could outperform the market by about 40% toward year-end (Figure 11), in which case the NT ratio would rise to around 20x (Figure 12).

Figure 8. MSCI Japan IT 12mf EPS and world semiconductor sales



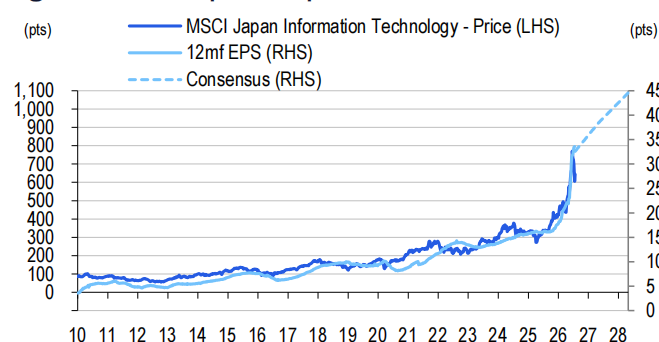
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Source: Citi Research, DataStream, Bloomberg

Figure 9. Hyperscaler AI related capex and R&D



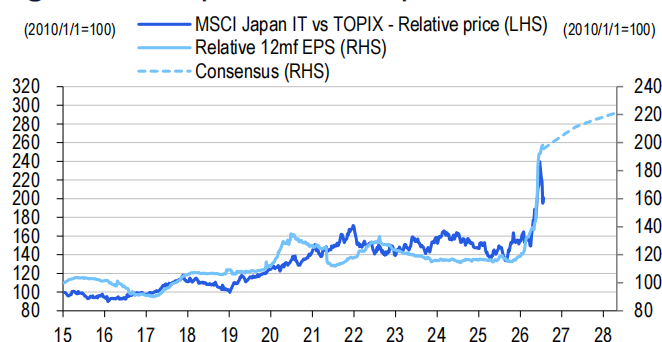
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Source: Citi Research

Figure 10. MSCI Japan IT — price and 12mf EPS



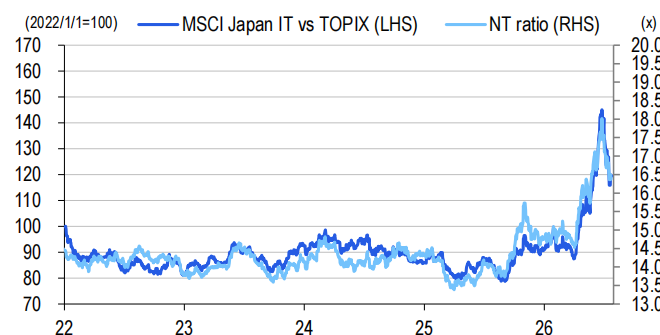
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Source: Citi Research, DataStream, Bloomberg

Figure 11. MSCI Japan IT vs TOPIX — price and 12mf EPS



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Source: Citi Research, DataStream, Bloomberg

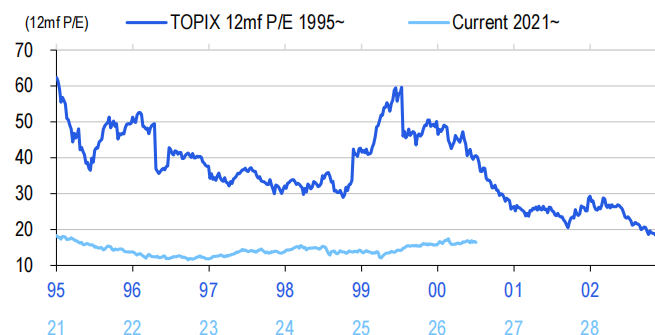
Figure 12. MSCI Japan IT vs TOPIX relative price and NT ratio



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Source: Citi Research, Bloomberg

Figure 13. TOPIX 12mf P/E during IT boom (1995~) and current (2021~)



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Source: Citi Research, DataStream, Bloomberg

Still sound compared to IT bubble era

Some compare the current AI and data center investment expansion and related stock gains to the late 1990s IT bubble. Certainly, there are commonalities in that expectations for new technology are driving investment expansion and stock gains. However, comparing Japan's current situation to the IT bubble period reveals several important differences. First, the overall market has not experienced notable valuation expansion, with PER still at low levels compared to then (Figure 13). Second, stock gains from the current AI and data center investment boom are concentrated in hard tech stocks like semiconductors and data center-related companies that directly benefit from investment expansion. This differs from the IT bubble period when speculative fund inflows occurred across a broad range of related stocks market-wide (Figure 14). Third, current Japanese stocks have multiple support factors beyond AI and data centers, including entrenched inflation, corporate governance reform, government investment promotion measures, and defense spending expansion (Figure 15). Based on the above, we believe current Japanese stocks are in a healthy situation compared to the IT bubble period, both in terms of valuations and theme diversity. Indeed, even during the tech stock and Nikkei correction since late June, TOPIX's correction has been limited, which we can evaluate as movement indicating overall market health.

Figure 14. Comparison of IT boom and AI boom

	IT Boom	AI Boom
New Technology	Internet, WWW, Web browsers	Generative AI, Large Language Models (LLMs), Machine Learning
Sectors Developing the New Technology	Software companies, OS vendors, network technology companies	AI model developers, AI research institutions, foundation model providers
Sectors Benefiting from the Development and Investment in the New Technology	Telecommunications carriers, Internet service providers (ISPs), network equipment manufacturers, server manufacturers	Semiconductor manufacturers, semiconductor equipment companies, cloud service providers, data center operators, electric power and energy companies
Sectors Providing Services Leveraging the New Technology	E-commerce companies, portal sites, search services, online advertising companies	AI application providers, SaaS companies, AI agent companies, business solution providers

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Source: Citi Research

Figure 15. Sector performance in IT boom and AI boom

IT boom (1995/1/5~2000/2/7)			AI boom (2023/1/5~current)		
	Rel return	Abs return		Rel return	Abs return
Info & Comm	191.6%	258.9%	Nonferrous Metals	352.5%	469.9%
Securities & Commodity Futures	186.5%	253.9%	Banks	178.6%	296.1%
Wholesale Trade	186.3%	253.6%	Insurance	73.1%	190.5%
Services	128.9%	196.3%	Securities & Commodity Futures	63.3%	180.8%
Electric Appliances	64.0%	131.4%	Mining	60.6%	178.0%
Precision Instruments	21.8%	89.2%	Electric Appliances	58.4%	175.8%
Retail Trade	6.0%	73.4%	Oil & Coal Products	57.1%	174.5%
TOPIX	0.0%	67.4%	Wholesale Trade	47.7%	165.1%
Nonferrous Metals	-22.9%	44.5%	Machinery	35.1%	152.5%
Transport Equipment	-26.0%	41.4%	Other Financing Business	26.7%	144.1%
Other Products	-29.9%	37.5%	Warehouse & Harbor Transport	26.5%	143.9%
Other Financing Business	-31.0%	36.4%	Construction	24.1%	141.5%
Banks	-31.3%	36.1%	Glass & Ceramics	20.5%	137.9%
Machinery	-37.7%	29.7%	TOPIX	0.0%	117.4%
Chemicals	-39.1%	28.3%	Marine Transportation	-7.6%	109.8%
Pharmaceutical	-41.1%	26.3%	Electric Power & Gas	-22.5%	94.9%
Pulp And Paper	-44.6%	22.7%	Metal Products	-26.0%	91.4%
Real Estate	-51.3%	16.1%	Rubber Products	-32.2%	85.2%
Marine Transportation	-54.0%	13.3%	Real Estate	-32.5%	85.0%
Iron And Steel	-59.6%	7.8%	Retail Trade	-49.4%	68.0%
Fish. Agri. & Forest	-62.4%	5.0%	Info & Comm	-49.7%	67.7%
Rubber Products	-64.7%	2.7%	Other Products	-50.6%	66.9%
Glass & Ceramics	-67.8%	-0.4%	Chemicals	-52.6%	64.9%
Foods	-71.3%	-3.9%	Foods	-55.1%	62.3%
Oil & Coal Products	-72.0%	-4.6%	Textiles & Apparels	-55.6%	61.8%
Land Transportation	-75.0%	-7.6%	Iron And Steel	-56.5%	61.0%
Metal Products	-76.0%	-8.6%	Transport Equipment	-57.6%	59.8%
Textiles & Apparels	-78.0%	-10.6%	Pulp And Paper	-57.8%	59.7%
Air Transportation	-78.6%	-11.3%	Precision Instruments	-60.6%	56.8%
Mining	-80.1%	-12.7%	Fish. Agri. & Forest	-61.6%	55.8%
Insurance	-80.3%	-12.9%	Services	-62.0%	55.4%
Construction	-85.2%	-17.9%	Land Transportation	-91.4%	26.0%
Electric Power & Gas	-90.0%	-22.6%	Pharmaceutical	-97.5%	20.0%
Warehouse & Harbor Transport	-90.2%	-22.8%	Air Transportation	-108.0%	9.4%

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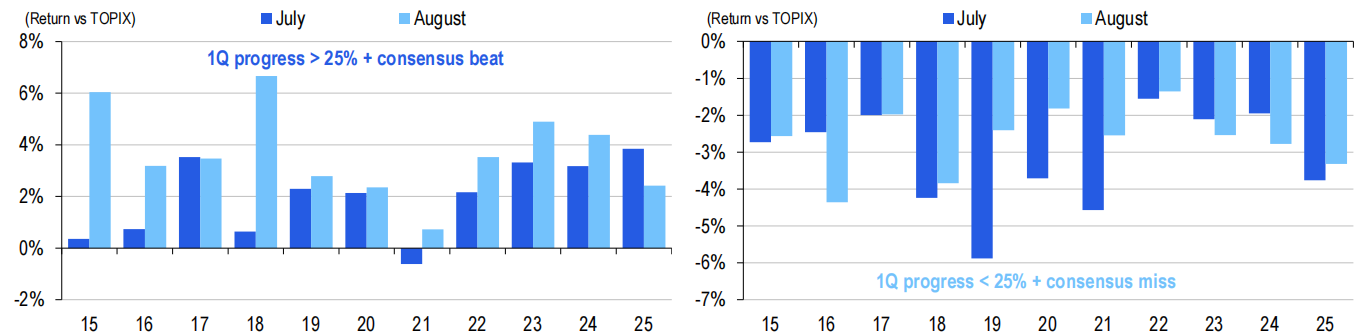
Source: Citi Research, Bloomberg

Momentum market still in play following tech correction

As we noted in previous reports, the Japanese stock market around Q1 earnings announcements tends to favor stock selection rooted in earnings content, so-called earnings plays (Figure 16). For stocks where consensus forecasts were cut due to conservative guidance issued alongside full-year results, strategies targeting positive surprises in Q1 earnings may be effective short-term. Meanwhile, the overheating in beta and momentum factors has been substantially resolved through the tech correction since late June (Figure 17, 18). Additionally, as long as the widening disparity between companies in an inflationary environment, the so-called polarization trend, and global liquidity expansion continue, we believe the momentum-favoring market structure is unlikely to change significantly (Figure 19, 20). Therefore, separate from earnings plays, stock groups maintaining longer-term

profit growth momentum and price momentum while experiencing price corrections in the past month remain promising as medium-term investment targets. Screening results for applicable stocks are shown in Figure 21.

Figure 16. Q1 strong progress + beat (left) and Q1 weak progress + miss (right): average 20 working day returns since 2015 (July and August)

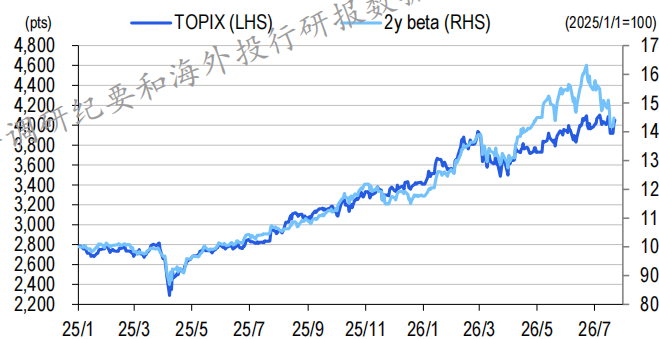


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Note: The universe consists of TOPIX constituents with a March fiscal year-end. Based on OP. The average patterns for stocks with earnings announcement dates in July and August are calculated separately.

Source: Citi Research, Nikkei QUICK, Bloomberg

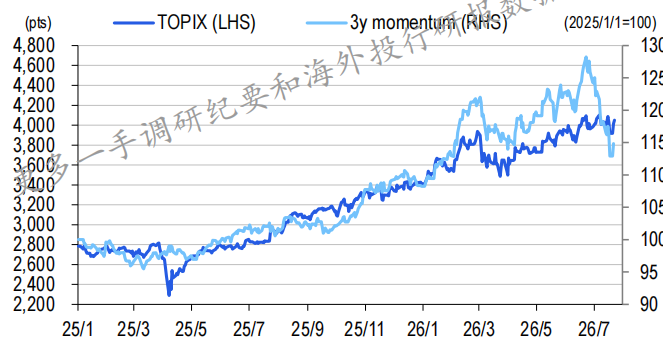
Figure 17. TOPIX and 2y beta factor



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Source: Citi Research, Bloomberg

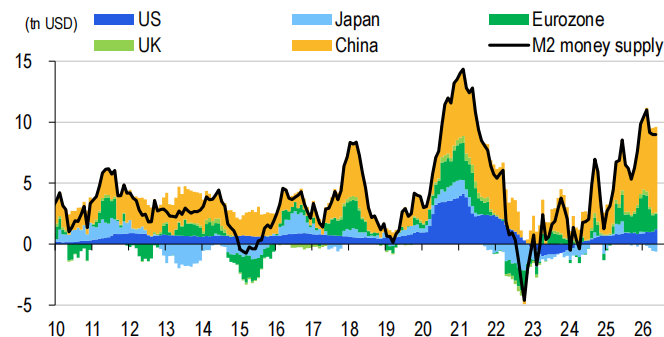
Figure 18. TOPIX and 3y momentum factor



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Source: Citi Research, Bloomberg

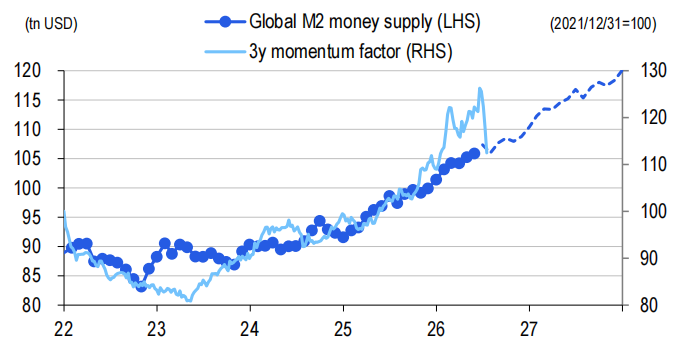
Figure 19. Global money supply



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Source: Citi Research, Bloomberg

Figure 20. Global money supply and 3y momentum factor



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Source: Citi Research, Bloomberg

Figure 21. Screening based on 1y momentum, 1y reversal, and current year earnings growth

2026-07-22					return vs TOPIX			FY26 Consensus				TP		
Code	Company name	Sector	FY	Market cap (bn JPY)	1m	3m	12m	RP yoy	3m rev	ROE	P/E	P/B	5y beta	upside
1961	SANKI ENGINEERING	Construction	27/03	401	-18.8	-0.9	30.8	10.3	1.9	20.8	15.7	3.1	0.7	25%
268A	RIGAKU HOLDINGS	Prec. Inst	26/12	511	-19.4	-21.6	166.8	17.5	2.3	13.4	37.9	5.8	1.1	20%
285A	KIOXIA HOLDINGS	Elec. App.	27/03	35,221	-39.4	77.0	2537.9	848.8	116.5	51.9	6.6	25.2	1.8	90%
3110	NITTO BOSEKI	Gl.&Cer.Prod	27/03	600	-21.6	-49.8	96.9	30.8	-0.7	27.5	31.7	3.3	1.5	49%
4004	RESONAC HOLDINGS	Chemicals	26/12	2,913	-19.6	-2.2	280.8	197.3	14.3	4.3	29.2	4.0	1.3	44%
4061	DENKA	Chemicals	27/03	330	-16.3	-5.5	38.6	24.9	-21.5	5.2	19.3	1.0	0.9	24%
4062	IBIDEN	Elec. App.	27/03	5,145	-29.4	55.3	441.9	71.7	19.5	12.2	71.3	9.3	1.8	21%
4182	mitsubishi gas chemical	Chemicals	27/03	960	-18.5	-3.0	36.9	42.8	8.2	-6.1	18.7	1.4	1.1	32%
4186	TOKYO OHKA KOGYO	Chemicals	26/12	1,315	-8.3	3.6	116.3	24.3	10.8	15.6	32.4	5.3	1.4	20%
4203	SUMITOMO BAKELITE	Chemicals	27/03	625	-6.8	28.2	24.5	11.9	5.2	8.8	20.5	1.8	1.2	12%
4368	FUSO CHEMICAL	Chemicals	27/03	431	-15.8	29.3	148.5	29.6	24.6	12.9	21.7	3.7	1.1	57%
4631	DIC	Chemicals	26/12	434	-11.5	15.6	14.8	25.6	16.1	7.4	11.4	0.9	0.8	13%
5016	JX ADVANCED METALS	Nonfer.Mts	27/03	3,594	-27.8	-30.0	301.7	35.3	8.8	15.6	22.6	4.6	1.9	33%
5333	NGK	Gl.&Cer.Prod	27/03	1,779	-17.7	31.1	196.1	16.8	6.2	7.8	20.8	2.2	1.2	11%
5393	NICHIAS	Gl.&Cer.Prod	27/03	632	-16.0	-0.7	38.2	20.4	7.5	13.9	18.8	2.6	0.9	23%
5713	SUMITOMO METAL MINING	Nonfer.Mts	27/03	2,187	-13.4	-32.7	70.0	16.7	11.6	9.0	10.5	1.0	1.3	45%
5714	DOWA HOLDINGS	Nonfer.Mts	27/03	524	-11.0	-21.2	32.0	52.1	19.1	14.6	9.0	1.1	1.1	23%
5741	UACJ	Nonfer.Mts	27/03	441	-16.2	-25.5	34.8	13.9	28.8	12.2	10.0	1.2	1.1	39%
5801	FURUKAWA ELECTRIC	Nonfer.Mts	27/03	2,491	-37.7	-27.7	315.8	50.8	32.3	19.1	28.5	5.9	1.4	82%
5803	FUJIKURA	Nonfer.Mts	27/03	8,434	-21.4	-28.3	195.4	69.7	25.0	32.5	33.9	14.0	1.8	51%
5991	NHK SPRING	Metal Prod.	27/03	842	-12.7	21.6	81.0	28.4	2.1	6.6	17.8	1.7	1.2	25%
6113	AMADA	Machinery	27/03	910	-6.4	7.3	35.9	20.8	-4.4	5.8	23.9	1.7	1.4	6%
6134	FUJI	Machinery	27/03	729	-10.9	17.6	132.5	39.6	15.9	7.0	22.9	2.8	1.4	2%
6146	DISCO	Machinery	27/03	7,441	-21.0	-16.0	16.1	32.6	3.7	25.1	41.6	12.7	1.4	23%
6268	NABTESCO	Machinery	26/12	583	-12.0	-1.5	46.6	54.0	10.2	5.8	26.8	2.1	1.2	15%
6278	UNION TOOL	Machinery	26/12	364	-22.6	3.0	175.9	81.3	32.1	8.0	33.9	4.4	1.1	38%
6302	SUMITOMO HEAVY INDUSTRIES	Machinery	26/12	641	-5.0	-6.4	26.9	14.0	6.5	14.7	19.3	0.9	1.2	18%
6323	RORZE	Machinery	27/02	793	-8.9	18.4	88.5	26.8	4.8	15.4	26.0	5.7	2.0	27%
6324	HARMONIC DRIVE SYSTEMS	Machinery	27/03	663	-19.5	49.2	108.3	236.7	7.5	2.0	109.2	8.1	1.6	11%
6361	EBARA	Machinery	26/12	2,558	-15.9	-5.5	54.8	34.7	15.8	15.6	24.7	4.9	1.7	19%
6407	CKD	Machinery	27/03	446	-18.2	6.0	105.6	37.1	12.0	9.4	24.2	2.9	1.6	20%
6471	NSK	Machinery	27/03	567	-5.4	-13.7	23.1	31.9	0.9	3.5	18.2	0.8	1.1	21%
6481	THK	Machinery	26/12	841	-12.4	19.4	39.9	156.6	30.3	-21.7	27.3	3.1	1.2	16%
6503	mitsubishi electric	Elec. App.	27/03	11,895	-7.4	-12.8	32.9	27.8	5.5	9.7	24.0	2.6	1.3	24%
6506	YASKAWA ELECTRIC	Elec. App.	27/02	1,390	-30.4	-10.4	36.5	38.9	1.7	7.7	27.9	2.8	1.7	38%
6508	MEIDENSHA	Elec. App.	27/03	408	-17.2	4.0	23.3	13.0	13.8	15.1	17.7	2.3	1.2	15%
6525	KOKUSAI ELECTRIC	Elec. App.	27/03	2,081	-13.6	24.0	117.3	63.7	11.1	14.5	42.4	9.3	2.0	25%
6622	DAIHEN	Elec. App.	27/03	370	-22.1	-1.1	76.2	31.4	6.8	9.6	20.7	2.3	1.4	29%
6752	PANASONIC HOLDINGS	Elec. App.	27/03	10,052	-5.3	29.5	145.6	129.5	1.1	3.8	21.9	1.8	1.2	16%
6754	ANRITSU	Elec. App.	27/03	535	-7.5	0.5	75.4	27.7	13.7	9.1	35.2	3.8	1.1	14%
6762	TDK	Elec. App.	27/03	6,040	-22.0	7.4	45.4	15.2	4.0	9.8	26.2	2.7	1.6	34%
6787	MEIKO ELECTRONICS	Elec. App.	27/03	654	-32.7	-24.5	215.4	37.5	19.7	16.2	23.9	4.8	1.8	54%
6806	HIROSE ELECTRIC	Elec. App.	27/03	972	-8.7	22.1	18.7	14.5	7.2	8.9	26.2	2.4	1.0	8%
6856	HORIBA	Elec. App.	26/12	1,147	-4.0	19.3	105.7	27.2	11.9	11.2	23.6	3.3	1.3	15%
6857	ADVANTEST	Elec. App.	27/03	21,656	-6.5	-1.7	118.6	33.4	6.8	57.6	42.3	26.9	1.6	23%
6871	MICRONICS JAPAN	Elec. App.	26/12	626	-5.2	20.7	146.2	74.2	18.4	20.9	29.2	8.2	1.6	59%
6925	USHIO	Elec. App.	27/03	343	-12.4	21.9	91.4	15.2	4.6	4.0	30.9	1.6	1.0	25%
6954	FANUC	Elec. App.	27/03	6,751	-12.1	-2.1	37.8	18.4	6.0	9.3	34.1	3.4	1.4	9%
6963	ROHM	Elec. App.	27/03	1,932	-14.3	21.9	111.0	157.0	7.2	-19.2	51.6	2.4	1.3	14%
6976	TAIYO YUDEN	Elec. App.	27/03	1,698	-27.1	92.4	348.6	64.8	16.3	4.5	61.4	4.7	1.8	38%
6981	MURATA MANUFACTURING	Elec. App.	27/03	16,326	-30.6	61.7	245.6	41.7	11.0	8.8	49.2	5.6	1.5	48%
7729	TOKYO SEIMITSU	Prec. Inst	27/03	772	-7.9	1.9	50.1	20.7	6.7	13.5	25.9	3.9	1.4	14%
8035	TOKYO ELECTRON	Elec. App.	27/03	30,871	-13.7	37.3	97.8	53.4	17.5	29.6	41.8	14.7	1.6	14%
9412	SKY PERFECT JSAT	Inf.&Com.	27/03	684	-27.4	-35.2	18.0	11.8	1.4	8.0	25.0	2.1	0.8	82%
9962	MISUMI GROUP	Whsle Trade	27/03	1,059	-2.3	12.4	43.9	19.8	5.1	11.1	26.4	2.6	1.2	24%

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Note: Universe consists of TOPIX constituents with 1) market cap over ¥300bn, 2) 1m momentum bottom 20%, 3) 1y momentum top 20%, 4) current year RP profit growth over 10%. Highlighted companies with over 30% consensus target price upside.

Source: Citi Research, Nikkei QUICK, Bloomberg

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Appendix A-1

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